Maro Trade's Playbook

Liquidity Playbook

Instruments: Futures | Forex | Crypto

Trading Style: Day Trading

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Playbook Overview

This strategy is built around the idea that price seeks liquidity, and that retail traders often get trapped around key highs and lows. Instead of entering trades before price hits liquidity, this playbook waits for the market to run stops (take liquidity) and then trade the reversal after the trap is formed.

The concept is simple: buy below lows, sell above highs, but only when those lows or highs have respected structure and moved away, forming clear resting liquidity. The key is to use liquidity to determine direction, entry, invalidation, and targets.

Playbook Rules

Directional Bias

- Use liquidity to determine bias. If a high is respected and price moves away, there's liquidity above it. That suggests the market may return there eventually.
- Don't trade unless liquidity is built. Wait until the price has taken liquidity or formed an inducement before planning a trade.
- If a big move has already happened and left no clear highs/lows with liquidity, there is no trade.

Buy Setup Rules

1. Identify a low that was respected and caused the price to move away (creates liquidity below).
2. Wait for the price to return and trade below that low.
3. Look for confirmation (internal structure, false reaction, trap).
4. Buy below the low — never above.
5. Place a stop-loss below the low that just got taken.
6. Target liquidity at highs, especially highs that were respected and moved the price.

Sell Setup Rules

1. Identify a high that was respected and caused the price to move away (creates liquidity above).
2. Wait for the price to return and trade above that high.
3. Look for confirmation (internal structure, false reaction, trap).
4. Sell above the high, never below.
5. Place a stop-loss above the high that just got taken.
6. Target liquidity at lows, especially lows that were respected and moved the price.

Execution

- Execute after liquidity is taken, not before.
- Use market execution once the high/low is taken and the trap is confirmed.
- Always cover the last high/low with your stop.
- Don't refine entries too much; keep it simple.